



BY ANUP BAGCHI

Right Product To The Right Customer

For the industry to continue its growth, insurers must understand where premium payments rank in customer expenses

THE LIFE INSURANCE industry is unique in its mission. It helps protect families financially, helps individuals build wealth to achieve financial goals and lead financially independent retired lives. It acts as an anchor, providing peace of mind and knowing that one's family will remain financially protected even in their absence. It's a promise to shoulder a family's dreams, aspirations, and emotional well-being.

Life insurance, through its products in the health, life, long-term savings, and pension categories, serves the core societal needs of protection, savings, and retirement planning. Notably, term insurance and pension products have no substitutes in the financial services sector. Significantly, life insurance products iron out reinvestment risk, enabling individuals to receive guaranteed life-long income insulated from market fluctuations.

India's potential

The Indian life insurance market is poised for significant growth in the coming years. According to reinsurance firm Swiss Re, India is estimated to become the sixth largest market by 2032, with total

premiums expected to grow 14% annually over the next decade.

The tailwinds of a supportive government and regulatory framework, a rapidly growing middle class, rising per capita income, and the growing trend of nuclear families are driving the industry's growth. Additionally, the use of technology has played a pivotal role in making

products easily accessible.

But there is untapped potential here. According to the UN's population division, the share of the working population in India is expected to rise 14% to around 736 million by 2030. This burgeoning segment will need life insurance products for financial security and to achieve long-term financial goals.

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